

IAS 37



ECONOMIC AND MANAGEMENT SCIENCES
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Provisions, Contingent Liabilities and Contingent Assets

Chapter 2: Qualitative characteristics of useful financial information (2.1-2.43)

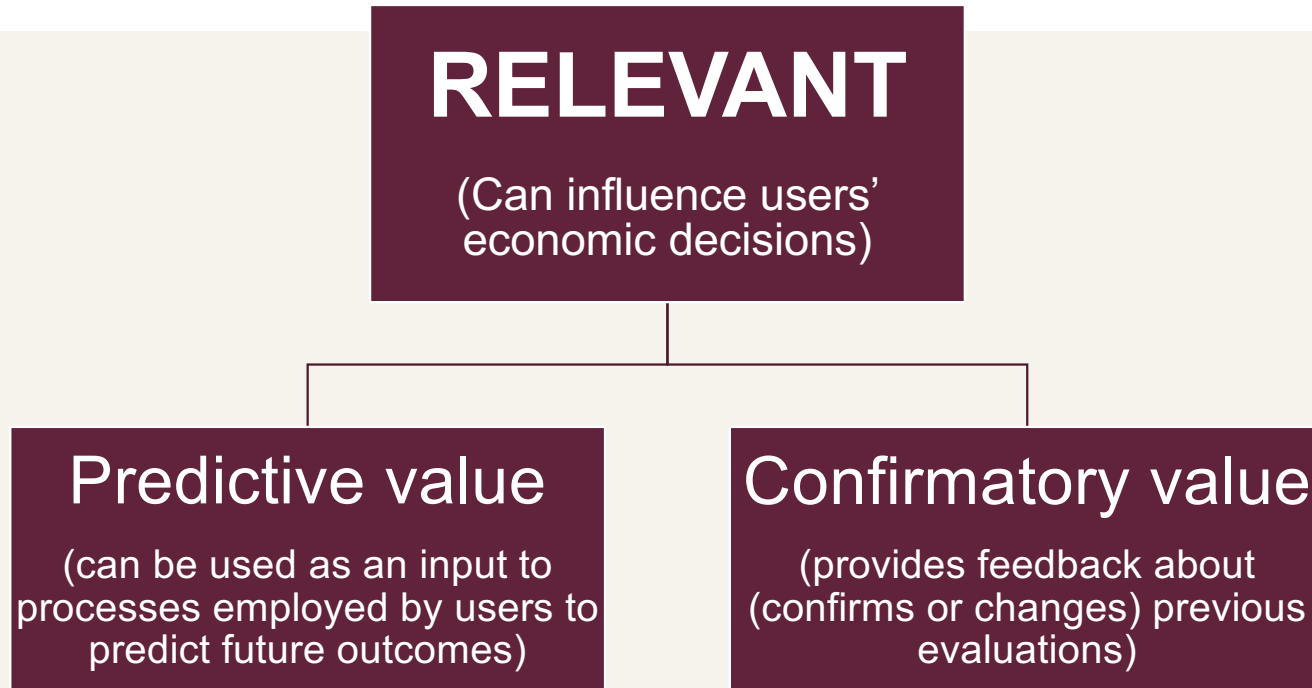
FUNDAMENTAL CHARACTERISTICS

(Primary/minimum requirements for useful information -> **need to meet both (2.4)**)

Relevant

Faithful
representation

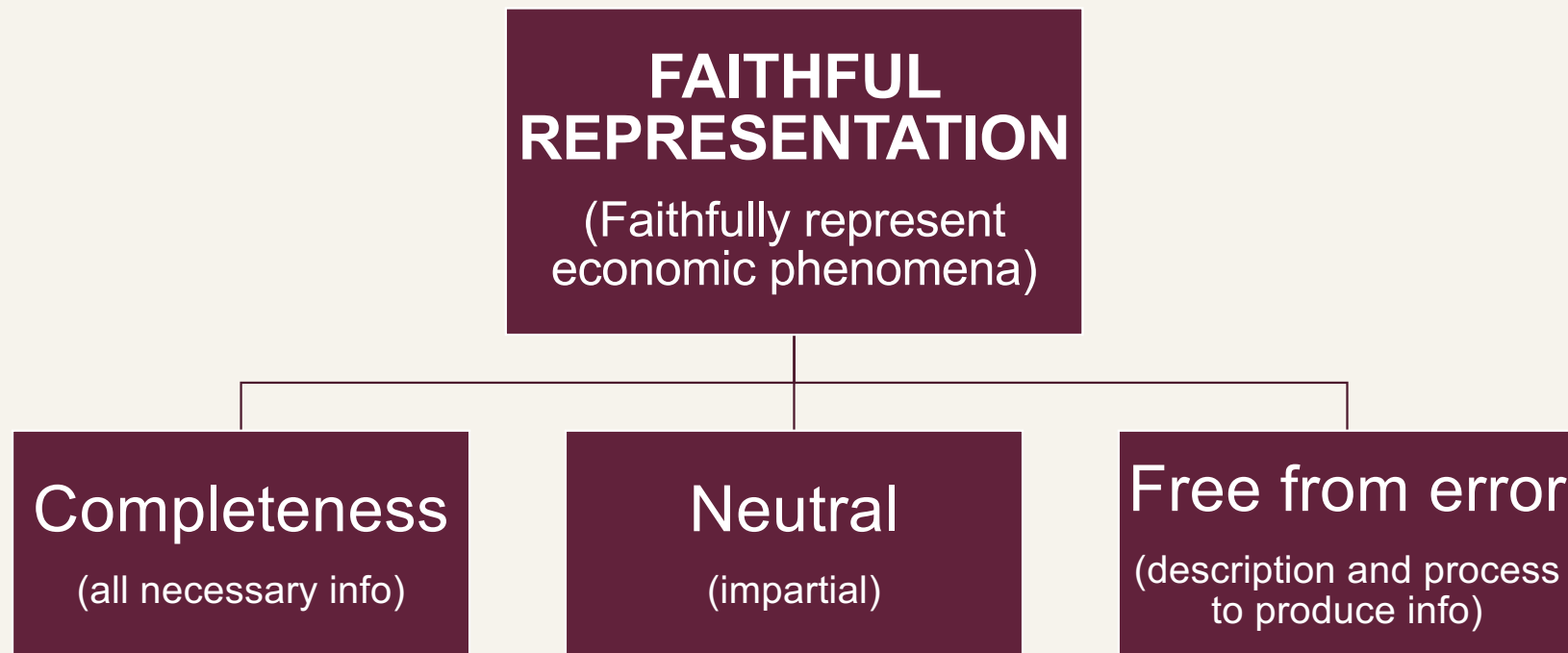
Chapter 2: Qualitative characteristics of useful financial information (2.1-2.43)



Materiality [2.11]

Information is material if omitting it or misstating it could influence decisions that users make on the basis of financial information about a specific reporting entity (entity-specific).

Chapter 2: Qualitative characteristics of useful financial information (2.1-2.43)



Example to illustrate IAS 37

Background

ABC Ltd. is a big retailer with a 31 December year end.

On 24 December 2018, Mrs. A was busy with her Christmas shopping and slipped and fell in one of ABC Ltd.'s shops. While laying on the floor Mrs. A was shouting that she will sue ABC Ltd. as the floor was wet. As a result of the fall, Mrs. A had incurred medical expenses of R15 000 due to her injury. On 28 December 2018, Mrs. A made a court case against ABC Ltd. for an amount of R20 000 for the medical expenses and pain suffered.

What must ABC Ltd. do on 24, 28 and 31 December 2018?

Scenario 1



Court hearing: 31 December 2018 – ABC Ltd. lost the case and ordered to pay R25 000.

At 31 December 2018, ABC Ltd. must still pay Mrs. A.

Scenario 2



Court hearing will only be in February 2019.

On 31 December 2018, ABC Ltd.'s lawyers: ABC Ltd. was negligent and there is a 90% chance that they will lose the court case.

Scenario 3



Court hearing will be in February 2019.

31 December 2018, ABC Ltd.'s lawyers states there is a 10% chance that ABC Ltd. will lose the court case and have to pay the R20 000.

DEFINITIONS (par. 10)



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- **Provision**
 - Liability of uncertain timing or amount
- **Liability (according to IAS 37 – slightly different to Conceptual Framework...)**
 - Present obligation
 - Arising from past events
 - The settlement of which is expected to result in an outflow from the entity of resources embodying economic benefits

Think about: What is a past event that results in a present obligation?

- **Obligating event (par.17)**
 - Legal obligation, **OR**
 - Constructive obligation

DEFINITIONS (par. 10)

- **Legal obligation** consists of :
 - A contract
 - Legislation or
 - Other legal operations
- **Constructive obligation** is derived from entity's behaviour:
 - established pattern of practice;
published policy; or
sufficient specific **current** statement,
by which entity indicated that they accept responsibility and
 - therefore a valid expectation is created on the part of other parties

DEFINITIONS (par. 10)

- **Contingent liability**

- Possible obligation
- Arising from past events
- existence confirmed by occurrence or non-occurrence of uncertain future events(not wholly within control of entity)

OR

- Present obligation
- Arising from past events
- not recognised because:
 - outflow of economic benefits not probable, or
 - amount cannot be measured reliably

DEFINITIONS (par. 10)

- **Contingent asset**

- Possible asset
- Arising from past events
- existence confirmed by occurrence or non-occurrence of uncertain future events (not wholly within control of entity)

Provision vs ... (par. 11-13)



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- **Other liabilities (par.11)**

- **Provisions:** uncertainty about timing or amount
- **Trade payables:** ? (Must pay for goods or services which were received and invoiced, thus nothing uncertain)
- **Accruals:** ? (Must pay for goods or services which were received, but not yet invoiced. Uncertainty is much less than provisions)

(Recognise provisions separately from trade payables, accruals are often part of trade payables)

- **In the general sense, all provisions are contingent (par. 12), but IAS 37 distinguish between: (par.13)**

- **Provisions:** recognise as liability because they are present obligations
- **Contingent liabilities**
 - (Only disclose in notes)

Recognition of provisions (PAR. 14 - 35)

- **Provisions**

Recognise only when (IAS 37 par.14):

- a) Entity has present obligation (legal or constructive), as result of past event (par.15-22),
- b) Probable that an outflow of resources embodying economic benefits will be required to settle obligation (par.23-24), and
- c) A reliable estimate of amount of obligation can be made (par.25-26)

Take note: The recognition criteria repeats the definition of a provision

THUS FinAcc 178: If need to discuss classification and recognition, then you state the theory for both but you only have to do the application once

Recognition of provisions

- (a) Present obligation (15.–16.):
 - If not clear → **that present obligation will arise from events in the past**: use available evidence, as well as events after reporting period
 - Do provide if it is more likely than not, that present obligation will in fact exist at end of reporting period
 - Disclose contingent liabilities if more likely that there will not be a present obligation at the end of the reporting period, except if chances are remote.

How does this paragraph impact on our scenario?

Recognition of provisions

- (a) As a result of a past event(17.)
 - Obligating event – no alternative but to pay
 - Enforceable by legal actions or
 - Constructive obligation – creates valid expectation
- No provision for future operating costs (18.)
- Provide only for obligation arising from events in the past, which are independent from entity's future acts/behaviour (19.)
- Other parties to whom indebted (20.)
 - Need not know identity
 - Management or board resolutions do not create constructive obligations, unless it was communicated to parties (before the end of the reporting period) in such a way that it created a valid expectation
- Events which do not immediately create a liability can create one later (21.)
- Unfinalised legislation – only provide if virtually certain (22.)

Recognition of provisions

- (b) Probable outflow of economic benefits
 - More **likely** than not = probable (23.)
 - Number of similar **obligations** – look at class as a whole (24.)
- (c) Reliable estimate of liability
 - Estimates
 - Possible to determine a range of possible outcomes (25.)
 - If not possible = contingent liability (26.)

RECOGNITION (PAR. 14 - 35)

- **Contingent liability**
- Not recognised – only disclose that it exist (27.)
- Is disclosed, unless possibility of outflow of economic benefits is **remote** (28.)
- Provide if outflow of economic benefits becomes probable (30.)

RECOGNITION (PAR. 14 - 35)

- **Contingent asset**
 - Not recognised – only disclose that it exist (32.)
 - Income may never realise (33.)
 - Disclose if and when inflow of economic benefits is probable (34.)
 - Continue to review and if and when inflow of eco benefits is almost certain, the asset and income are recognised (35.)
- *Refer IAS 37 IG: Appendix B (in theory pack)*

Measurement of provisions

- Best estimate, on reporting date, of expenditure required to settle the present obligation (par.36-41)
 - Use judgement of management, independent experts, experience with similar transactions and take events after reporting period (IAS 10) into account
 - Probabilities of different estimates
 - Large population of items (39.)
 - Single liability (40.)
 - Pre-tax amount
- Take into account risks and uncertainties that inevitably surround events and circumstances (par.42-44)
- Where effect of time value of money is material, use present value of expenditure as provision (par.45-47)
 - Pre-tax discount rate

SPECIFIC ASPECTS

- **Reimbursement of provision (par.53-58) – third party**
 - Recognise only when virtually certain of reimbursement when entity settles the obligation
 - Recognise as separate asset, asset may not exceed liability ($A \& L = \text{gross}$)
 - Decrease expense in SCI (net) with expected reimbursement

SPECIFIC ASPECTS

- **Changes in provision (par.59-60)**
 - Review provision at end of each reporting period (current best estimate): reverse if necessary
- **Use of provisions (par.61-62)**
 - Use only for expenditure for which the provision was originally recognized
- **Future operating losses (par.63-65)**
 - Provisions shall not be recognised

Disclosure of provisions

❑ For each class of **provision**, disclose (par.84):

- Carrying amount – beginning and end
- Additional provisions made during period
- Amounts used during period
- Unused amounts reversed during the period
- Time value of money adjustments during period
 - Finance cost, change in discount rate

Comparative figures are not required, only the current year

Disclosure of provisions

❑ For each class of **provision**, disclose (par.85):

- Brief description of nature of the obligation and expected timing of outflows of economic benefits
- Uncertainties of the amount/timing of cash flow
 - Where necessary, provide major assumptions made concerning future events
- Amount of expected reimbursement, amount of asset recognised for expected reimbursement

Example: Disclosure of provision (Scenario 2)

	Court Case
Carrying amount on 1 January 2018 <i>par 84(a)</i>	
Additional provision	
Amounts used	
Unused amounts written back	
Finance costs	
Effect of change in discount rate	
Carrying amount on 31 December 2018	

A provision of R20 000 is recognised for a court case against ABC Ltd. At 31 December 2018, there is uncertainty regarding the outcome and the amount of the court case, but if successful ABC Ltd. could be liable to pay R20 000 to the compliant.

Disclosure of Contingent liability

❑ For each class of **contingent liability**, unless possibility of outflow is remote (par.86):

- Brief description of nature
- Estimate of financial effect if practicable
- Uncertainties relating to amount or timing of cash flow
- Possibility of any reimbursement

Example: Disclosure of contingent liability (Scenario 3)



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Contingent liability

ABC Ltd. is being sued by a customer for an injury obtained in one of its stores. ABC Ltd.'s directors are of the opinion that there is only a possibility that the customer will be successful. If the claim is successful, it will lead to a payment of R20 000. The legal process is expected to continue for another year.

Disclosure of Contingent asset

❑ For contingent assets, if inflow is probable (par.89):

- Brief description of nature
- Estimate of financial effect where practicable

❑ Where information in par.86 and 89 is not disclosed because it is not practicable: state fact (par.91)

❑ In extremely *rare cases* where information is sensitive due to a dispute: disclose general nature of dispute, fact and reason for non-disclosure (par.92)

- Par 10 Definitions of Onerous contract & Restructuring
- Par 28 Jointly and separately liable
- Par 48 – 52 Detail about Measurement
- Par 66 -69 Onerous contracts
- Par 70 – 83 Restructuring



Another example to illustrate IAS 37 but also a bit beyond that...



- Eg: Provision for environmental damage (legislation to restore environment after your project)
 - All good and well to know how to do the accounting entries and disclosure = technical!
 - BUT what about corporate citizenship? Think a bit wider, what are you doing to the environment?
- ALWAYS think beyond your accounting entries (for all transactions) = social responsibility and do you add value?